CG Power & Industrial Solutions Ltd

Concall-Tracker report | ticker CGPOWER | Q1-2027 update (continues the Q4-2026 report) | prepared 06 Nov 2026 | based on earnings-call transcripts (Screener.in)

1. Snapshot

What the business does: CG Power makes the equipment that carries and uses electricity. **Power Systems** builds large power transformers, switchgear and high-voltage circuit breakers for electricity grids, factories and data centres. **Industrial Systems** makes electric motors (it is India's market leader), drives and railway equipment. A newer third leg is **semiconductors**: a chip assembly-and-test plant in Sanand (CG Semi) and a chip-design business (Axiro). It is controlled by the Murugappa Group through Tube Investments of India, which rescued it in late 2020.

Number	Value	Plain-English read
Market value (Screener, Nov 2026)	₹1,21,688 cr	What the whole company is worth on the stock market today.
Price-to-earnings (P/E)	~78	Buyers pay about ₹78 for every ₹1 of yearly profit: a very rich price that assumes years of fast growth.
Q1 FY27 sales (Apr-Jun 2026, standalone)	₹3,061 cr, up 16%	A record first quarter, but slower than the 20%-plus growth of most of last year.
Q1 FY27 profit after tax (standalone)	₹364 cr, up 27%	Profit grew faster than sales; about ₹12 kept from every ₹100 of sales, up from ₹11.
Q1 FY27 consolidated sales / profit	₹3,281 cr (+14%) / ₹308 cr (+16%)	The group number is weaker because the chip business is still losing money (about ₹43 cr this quarter).
Order backlog (consolidated, 30 Jun 2026)	₹18,965 cr, up 45%	Work already won but not yet delivered: well over a year of sales sitting in hand.
Borrowings (Mar 2026)	₹46 cr	Practically debt-free.
Return on capital (ROCE)	~29% (Screener); 23% annualised for Q1 (mgmt, standalone)	Earns a very high profit on the money invested in the business.

2. Concall coverage

Period	Call date	How it was used
Q3 FY19 sample + Q1 FY26 → Q3 FY26 (old Avantha era plus three Murugappa-era calls)	2019; Jul 2025 - Jan 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior report's boundary)	06 May 2026	Carried forward from the Q4-2026 report
Q1 FY27	**24 Jul 2026**	**Newly deep-read in full ★**

Only the new Q1 FY27 call was read in full this quarter; the backstory comes from the Q4-2026 report. The current management team now has five consecutive quarterly calls on record. Calls held after 30 Sep 2026 are outside this report's window.

★ Latest concall highlights: Q1 FY27 (call held 24 Jul 2026)

- **Good quarter, slower top line.** Standalone sales up 16% and profit up 27%, with margins up 1.4 points. *Profit is still compounding fast, but sales growth eased from the 20%-plus pace; management blamed lumpy transformer shipments (each one worth ₹100-150 cr).*

- **Power Systems keeps getting better.** Segment sales up 31% to ₹1,402 cr; segment margin rose to about 23% (from about 21%); its order backlog is ₹14,434 cr, up 59%. *The grid and data-centre business is still the star and is getting more profitable as it grows.*
- **New capacity switched on.** A second high-voltage switchgear plant in Nashik started on 4 Jun 2026, adding 80% to circuit-breaker capacity (7,200 more units a year on top of 9,000). The chip assembly plant (G1, Sanand) began commercial production on 4 Jul 2026; Japan's Renesas will take close to half its output.
- **Industrial segment dipped.** Its profit fell to ₹148 cr from ₹172 cr, mostly due to a one-off ₹20 cr railway write-off; motors still grew at high-teen rates with double-digit margins, helped by another ~5% price rise.
- **Tone and flags:** confident ("capacity is not enough for the whole world") but more guarded than before. Management declined to give export numbers, margin outlook or a firm date for the new transformer plant. The statutory auditor (SRBC) will resign on 14 Aug 2026 so CG can share an audit network with its parent; management called it routine group alignment.

Business mix & capacity (quick facts)

Domestic vs exports: No figure given this call. The prior report put exports at roughly 5-7% of sales. Management now says export orders rose about 84% (roughly doubled) and India will stay the main market. *Still mainly an Indian business, with exports growing fast from a small base.*

Capacity: Power transformers ~75,000 MVA plus ~10,000 MVA of distribution transformers. A new greenfield plant will add ~45,000 MVA, ramping from about 10,000 to 30,000 to 45,000 over three quarters once it starts. Switchgear circuit-breaker capacity rose 80% in June. No utilisation percentage was given. *Management says lead times are now comfortable, so capacity is no longer the bottleneck it was a year ago.*

★ Since our last report

Builds on the **Q4-2026 report** (boundary call 06 May 2026). Prior verdicts: **Trigger YES · Consistency YES** (with a caveat that the turnaround is young).

Prior read	What we said then	What the new call shows	Movement
Trigger: power grid and data-centre boom	Power Systems sales up 46%, margins ~22%, backlog up 91%	Segment sales up 31%, margin ~23%, backlog up 59%; export orders up ~84%	**Confirmed**
Consistency	Four straight quarters of saying-then-doing	Fifth straight delivered quarter; profit beat sales growth again	**On-track**
Greenfield transformer plant: "commissioning Jul-Aug 2026", ~1,10,000 MVA by end-2026	Live promise to watch	Now "in the next few months", "not declared as yet", built in 12-14 months against an original FY27-28 plan. Total stays about 75,000 MVA today	**Slipping / vaguer**
Semiconductors: chip revenue "two quarters away"	Unproven, cost drag	G1 plant started commercial production on 4 Jul; Renesas to take ~50%; Axiro orders growing. Drag rose to ~₹43 cr this quarter	**Improving**
Motors margin recovery	Margin under commodity pressure	Motors margin back in double digits with high-teen growth; segment hit by a ₹20 cr railway provision	**Improving (segment mixed)**

Verdict change this quarter: both verdicts **unchanged**. The core trigger is still showing up in the numbers. The only soft spot is that the big new transformer plant's start date has become less precise than the Jul-Aug 2026 timing given last quarter.

★ 3. Earning-trigger thesis

The engine is unchanged: **India's grid build-out and the global shortage of large transformers**, now including data-centre, renewable and oil-and-gas buyers abroad. Power Systems grew 31% this quarter at rising margins and holds a ₹14,434 cr backlog. Switchgear capacity has just grown by 80%, and a 45,000 MVA transformer plant comes next. Motors are a steady second engine. Semiconductors moved from a plan to a running plant but still cost money.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Power Systems / transformer & switchgear cycle	Demand exceeds world capacity; no price stress; pipeline "increasing as ever"	Sales +31%, margin ~23%, backlog +59%	Now → several years	**Strong**	Unchanged: still delivering
Capacity additions	45,000 MVA greenfield "in next few months"; switchgear S3 Unit-II live	Switchgear plant commissioned 4 Jun 2026	0-12 months	**Strong**	**↓ slightly: transformer plant date vaguer**
Exports (US, Europe, Middle East)	Orders roughly doubled; spread across markets	Earlier US data-centre order; no Q1 numbers disclosed	1-3 years	**Moderate**	↑ order growth, but undisclosed
Semiconductors (CG Semi + Axiro)	Long-term investment; won't turn quickly profitable; Renesas ~50% offtake	G1 plant in commercial production; ~₹43 cr drag in Q1	3-5 years	**Unproven**	↑ plant now producing
Motors	High-teen growth; full IE3-IE5 efficient-motor range in 12 months	Double-digit margins; ~5% more price rise absorbed	Ongoing	**Moderate**	↑ margins recovered
Kavach (G.G. Tronics)	Trials cleared; safety approval and railway (RDSO) approval expected in 4-6 weeks; ~₹1,000 cr order book	No production yet; dragging consolidated industrial margin	1-2 years	**Unproven**	New item this quarter

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1-Q3 FY26	Orders, capacity, margins, ₹3,000 cr share sale	All delivered (from prior report)	**Delivered**
Q4 FY26 (May-26)	Record year; capacity ramp on schedule; margins to hold	Q1 FY27 margins rose further; switchgear plant opened on time	**Delivered**
Q4 FY26 (May-26)	Greenfield transformer plant Jul-Aug 2026	Not started by the 24 Jul call; now "next few months"	**Partly / delayed**
Q4 FY26 (May-26)	Chip revenue "two quarters away"	G1 commercial production started 4 Jul 2026	**Delivered**

Q1 FY27 (Jul-26)	Kavach approval in 4-6 weeks; new plant early; motors range in 12 months	To be checked next quarter	**Too early**
Avantha era (2016-19)	Old management's growth claims	Fund diversion and near-collapse (different, removed management)	**Broken (old team)**

Narrative drift: none worth flagging. The story is the same five-quarter story: grow Power Systems, add capacity, fix motor margins, build chips slowly. The tone has become more guarded. The CEO repeatedly said "we don't give forward-looking statements", declined export and margin figures, and gave a looser date for the transformer plant. The auditor change is explained as group alignment, but readers should note it. Sales growth slowing to 16% is worth watching, though management says it is quarter-to-quarter lumpiness and order intake supports that.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved this verdict down. Power Systems grew 31% at rising margins, its backlog is up 59%, export orders roughly doubled, and new switchgear capacity is already running. The trigger is concrete, funded and visible in the numbers. Semiconductors and Kavach are extra upside that is not yet proven.

Management consistent? → YES vs last quarter: unchanged

A fifth straight quarter of doing what was said: margins up, chip plant started on the date implied, switchgear plant opened, debt-free balance sheet kept. The small dent is the big transformer plant. The firm Jul-Aug 2026 timing has become "next few months", and management is now more tight-lipped on details. That is not enough to downgrade a clean record, but the plant's actual start date is the key promise to check next quarter, along with the Kavach approval. The turnaround under the current owners is still only about six years old, and the stock's P/E near 78 leaves little room for a slip.

Prepared from CG Power's Q1 FY27 earnings-call transcript (24 Jul 2026, Screener.in), the Q4-2026 Concall Tracker report for backstory, and Screener financial snapshot files. Not investment advice.